



ideas, knowledge and aspirations as compared to a handful who are working for the mutual fund industry. In fact, the concept of a mutual fund has become outdated. Mutual funds are competing with millions of traders. And with so much volatility and pressure on performance, they have also become weekly traders, if not day-traders. Our belief that mutual funds are good is yet another example of a mental heuristic. In fact the concept of a mutual fund has become outdated.



A Profession or A Business

Money management is a profession. The professionals who work in it are validated by their performance. Unfortunately the advent of mutual funds has turned it into a business where the goal is to increase the assets under management. Today, funds compete for the size of assets, chasing a benchmark of relative returns. The aim is to beat the top-performing fund. Even a poor two per cent becomes a benchmark. On the other hand a professional like a portfolio manager will benchmark against absolute returns because in most cases his fees are linked to his performance.



A Solution

Open-ended mutual funds are the main cause of the volatility in the markets today. I believe that close-ended mutual funds are the best vehicles for a long-term investor. It allows the fund manager to be disciplined, which in turn reaps substantial rewards for investors. No doubt the choice of such funds is limited. In this case the price of the fund could fluctuate according to the net asset value, but when the units change hands they go from one investor to other and there is no redemption on the fund. The fund manager, therefore, is free to make long-term decisions because the environment does not control him. For the healthy growth of the mutual fund industry more such close-ended funds need to be floated.